WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

TAIWAN

Asia

Information current as of October 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Taipei / New Taipei	Political, financial and corporate headquarters centre, home to the Taiwan Stock Exchange and most regional offices of foreign firms	Financial services, professional services, ICT, real estate
Hsinchu Science Park	Northern semiconductor cluster with 2025 revenue of NT$1.7 trillion (+12.25%) and TSMC's Baoshan fabs for processes below 2nm under construction	Semiconductors, IC design, equipment, materials
Taichung / Central Taiwan Science Park	Central manufacturing hub with 2025 park revenue of NT$1.13 trillion and TSMC's planned Fab 25, described as a 1.4nm hub	Semiconductors, advanced packaging, precision machinery
Tainan / Southern Taiwan Science Park	Taiwan's highest-revenue and fastest-growing science park, with 2025 revenue of NT$2.97 trillion, up 34.26%, and further 2nm fabs planned	Semiconductors, optoelectronics, green energy, biotech
Kaohsiung	Leading port city and site of TSMC's 2nm Fab 22, and home to the Kaohsiung Asset Management Zone, which drew NT$273.2 billion within six months of its July 2025 launch	Semiconductors, port logistics, petrochemicals, wealth management
Changhua offshore wind zone	Centre of Taiwan's offshore wind build-out; all turbines at the 1,022 MW Hai Long project were generating power by October 2026	Offshore wind, marine engineering, grid and storage
Free trade and free port zones (7)	Keelung, Taipei, Taichung, Kaohsiung, Anping, Suao and Taoyuan International Airport zones offering customs-bonded operations	Logistics, re-export processing, distribution

INVESTOR ENTRY ROUTES

- InvestTaiwan Center (Ministry of Economic Affairs Department of Investment Promotion), the lead promotion agency offering one-stop facilitation, incentive guidance and site support for foreign investors
- Statute for Investment by Foreign Nationals, with approval by the MOEA Investment Review Department; most sectors are open, with a short negative list covering areas such as utilities, telecommunications, media and air and sea transport

- Statute for Industrial Innovation incentives, including a 15% R&D tax credit and a 25% credit for qualifying semiconductor and key-technology investment
- Science parks administered by the National Science and Technology Council, home to 1,171 companies, alongside seven free trade and free port zones
- Managed-float New Taiwan dollar with no restrictions on repatriating earnings, dividends or capital from approved investment; advance reporting is required and very large conversions may be phased over several days
- Kaohsiung Asset Management Zone, supervised by the Financial Supervisory Commission, for wealth management, family offices and cross-border financial services
- Talent routes including the Employment Gold Card and an entrepreneur visa with a NT$2 million funding threshold

MARKET-ENTRY OBSERVATION

Taiwan in October 2026 is one of the world's fastest-growing advanced economies, powered by global demand for AI hardware. GDP grew 8.63% in 2025, the strongest in 15 years, and accelerated to 14.15% in the first half of 2026; the central bank now forecasts 11.48% growth for 2026, and the IMF projects Taiwan as the only advanced economy with double-digit growth this year. Exports reached a record $640.75 billion in 2025 and $661.55 billion in January–September 2026, up 46.2%, with September setting a monthly record of $87.22 billion. Approved foreign direct investment rose 44.98% to $11.39 billion in 2025 and to $13.92 billion in January–July 2026, up 78.13%, led by Micron ($7.45 billion) and the Hai Long offshore wind project. Foreign exchange reserves of $600.75 billion, an IMF-projected current account surplus of 22% of GDP and a stable 2% policy rate underpin the outlook.

Taiwan's main structural challenge is security of supply in a tense cross-Strait environment. The island imported 95% of its energy in 2025, LNG provided nearly 48% of power generation, and around one-third of LNG came from Qatar, a supply disrupted by the 2026 Middle East conflict. Beijing's "Justice Mission 2025" exercises in December 2025 rehearsed a blockade of Keelung and Kaohsiung and affected air routes for two days, although commercial activity continued. Taiwan has responded pragmatically: it secured replacement LNG cargoes from Australia and the United States, ruled out power rationing, and is reviewing nuclear options, with the regulator completing technical reviews for restarting the Maanshan plant in September 2026. Offshore wind, grid and storage investment, together with deepening supply-chain ties with the United States, Japan and Europe, offer investors both resilience and growth opportunities.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Cross-Strait tensions	Beijing's large-scale exercises, most recently in December 2025, have rehearsed blockade scenarios and temporarily disrupted air routes, but trade and production have continued throughout	Build business-continuity, inventory and insurance planning into operations; Taiwan's central role in global AI supply chains gives major partners a strong interest in stability
Energy import dependence	Around 95% of energy is imported and LNG storage covers about 11 days, so supply depends on uninterrupted shipping	Diversified LNG sourcing, around 150 days of oil reserves and a possible nuclear restart cushion supply; the energy transition opens opportunities in offshore wind, storage and grids
Concentration in AI and semiconductors	Growth is heavily driven by AI-related exports, with economists noting a split between booming AI industries and softer non-AI sectors and housing	Exposure to the AI supply chain is a strength; investors in other sectors can target supplier, services and domestic-demand niches benefiting from rising incomes
Investment screening and cross-Strait rules	Foreign investment requires MOEA approval, with stricter review for investors with PRC ownership of 30% or more or effective control, and penalties for unauthorised PRC-linked business	Confirm ownership chains early with local counsel; review timelines are published and scale with deal size
Enforcement of international arbitration	Taiwan is not a party to ICSID or the New	Use Taiwan-seated arbitration or

Issue	Potential Impact	Possible Mitigation
	York Convention, so foreign arbitral awards need a local court recognition order before enforcement	investment agreements where available; MOEA reports no investment disputes involving US investors
US trade-policy uncertainty	The January 2026 US–Taiwan deal capped most US tariffs at 15%, but the US tariff regime has been in flux since a February 2026 Supreme Court ruling	Taiwan has said it wishes to keep the deal; exporters can model tariff scenarios while benefiting from favourable treatment for firms investing in US chip capacity
Rising inflation and liquidity	Inflation reached 2.7% in September 2026, above the central bank's 2% alert level, amid tight liquidity linked to AI investment	The central bank has kept rates at 2% and is managing pressures prudently; investors should allow for possible tightening in financing plans

INVESTOR RISK NOTE

Taiwan's risk profile combines exceptional economic strength with a geopolitical environment that investors should manage deliberately rather than avoid. Growth, exports and approved FDI are at or near record levels, foreign exchange reserves exceed $600 billion, the banking system is well capitalised, and earnings and capital from approved investments can be repatriated freely. The principal considerations are cross-Strait tensions, highlighted by the December 2025 exercises, and dependence on imported energy, which the 2026 Middle East conflict has tested; in both cases operations continued and the authorities secured alternative supplies. Taiwan is not subject to international sanctions, but investors should note that its distinct international status places it outside ICSID and the New York Convention, and that investors with PRC ownership face a separate, stricter approval track. With sound legal advice, business-continuity planning and appropriate insurance, investors can access one of the world's most dynamic technology economies.

MARKET ACCESS

Taiwan has been a member of the WTO since 2002 as a separate customs territory, and has economic cooperation agreements with New Zealand and Singapore, investment agreements with Canada (2023) and Thailand (2024), and a first agreement under the US–Taiwan Initiative on 21st-Century Trade in force since December 2024. The January 2026 US–Taiwan trade and investment arrangement set a 15% US tariff ceiling, with Taiwanese firms committing $250 billion of US investment and $250 billion in credit guarantees. Exports reached a record $640.75 billion in 2025, with the United States now Taiwan's largest trade-surplus partner and the share of exports going to mainland China and Hong Kong falling to 23% from 42.3% in 2021, while exports to ASEAN also hit a record. Kaohsiung and Keelung ports and Taoyuan International Airport connect Taiwan to global markets, and the Taiwan Strait is one of the world's busiest shipping lanes.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Lai Ching-te)	Sets strategic direction, including the drive to make Taiwan an Asian asset-management hub and cross-Strait and energy policy	Primary reference point for Taiwan's strategic and economic priorities
InvestTaiwan Center (MOEA Department of Investment Promotion)	Lead investment promotion agency providing one-stop support, incentive guidance and site matching	Standard first point of contact for market entry
Central Bank of the Republic of China (Taiwan)	Sets monetary policy, holds the discount rate at 2% and manages the New Taiwan dollar and $600.75 billion in reserves	Relevant for currency conversion, repatriation and property-lending rules
MOEA Investment Review Department	Approves foreign direct investment and M&A, including the separate review track for PRC-linked investors	Essential counterpart for securing approvals and confirming ownership requirements
National Science and Technology Council	Administers the Hsinchu, Central and Southern Taiwan science parks, which	Key partner for semiconductor, technology and R&D investment sites

Actor	Why It Matters	Waverley Engagement Angle
	generated a record NT$5.8 trillion in 2025	
Financial Supervisory Commission	Regulates banking, securities and insurance and oversees the Kaohsiung Asset Management Zone	Relevant for financial-services licensing and wealth-management entry
Taipower and CPC Corporation (state energy companies)	Dominant power utility and state oil and gas company, central to LNG supply, grid expansion and the Maanshan restart application	Key counterparts for energy, offshore wind and infrastructure investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in Taiwan is the most active foreign business association, meeting regularly with government agencies and publishing policy recommendations. The Taiwan External Trade Development Council (TAITRA) organises Computex, held in Taipei in June 2026 with keynotes from global technology leaders, and is a valuable channel for partner matching. The National Development Council hosts public consultation on new regulations, and the state-backed venture platform Taiwania Capital co-invests in technology funds. The US International Development Finance Corporation and Taiwan's International Cooperation and Development Fund have a cooperation memorandum for third-country projects, and the international owners of projects such as Hai Long, including Mitsui, Northland Power and Gentari, are useful sources of practical intelligence on energy investment.

INVESTOR PROFILE BEST SUITED

Taiwan best suits investors seeking exposure to the global AI and semiconductor supply chain: equipment, materials, chemicals and services suppliers to TSMC and other chipmakers expanding fabs across the island's science parks; memory and advanced-packaging manufacturers; and technology investors drawn by record park revenues and incentives for key technologies. Energy-transition investors will find a growing market in offshore wind, storage and grid infrastructure, while asset managers and private banks can use the Kaohsiung Asset Management Zone. Investors should be comfortable managing cross-Strait and energy-supply scenarios through continuity planning and insurance.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage InvestTaiwan and confirm approval requirements
Open dialogue with the InvestTaiwan Center on incentives and sites, and confirm with counsel the MOEA approval route and any ownership-chain issues.

STEP 2: Secure a science park or free trade zone location
Work with the National Science and Technology Council or zone authorities to access science park infrastructure, supplier clusters and customs-bonded operations.

STEP 3: Build cross-Strait and energy scenarios into planning
Prepare business-continuity, inventory and insurance arrangements reflecting the December 2025 exercises and 2026 LNG supply experience.

STEP 4: Structure contracts for effective dispute resolution
Choose Taiwan-seated arbitration or treaty-protected structures, given that foreign arbitral awards require local court recognition.

STEP 5: Track US trade policy and the energy transition
Monitor implementation of the US–Taiwan trade arrangement and the Maanshan restart and offshore wind pipeline, which shape costs and new opportunities.